

If we look for the Apple's financials in November of 2019 and want to calculate TTM revenue then we must add the revenues from Q4 2018 and Q1-Q3 2019.

Apple's

Q4 2018: \$84.3 Billion **Q2 2019: \$53.8 Billion**

Q1 2019: \$58 Billion **Q3 2019: \$64 Billion**

$$\text{TTM} = \$84.3 \text{ B} + \$58 \text{ B} + \$53.8 \text{ B} + \$64 \text{ B} = \mathbf{\$260.1 \text{ B}}$$

*Assuming Financial year ends in December.

Let's look at a graph to see how the **PE Ratio Works**:



Source: screener.in

Conclusion The median PE is 38.5, as shown in this graph. When the PE is below the median, it is a good time to buy as the stock would be relatively cheaper and the returns would be better!

For instance, cheaper it the PE was below the median in the years 2013 and 2016 and it would have been a good time to buy shares!

However, if we buy the companies at PE=57.5, which is above the median, the stock will be over-priced. If EPS is negative for an extended period, the PE ratio will not be useful in determining whether to buy or sell a company.

$38.5 < 40 < 57.5$
 Underpriced Median Overpriced